

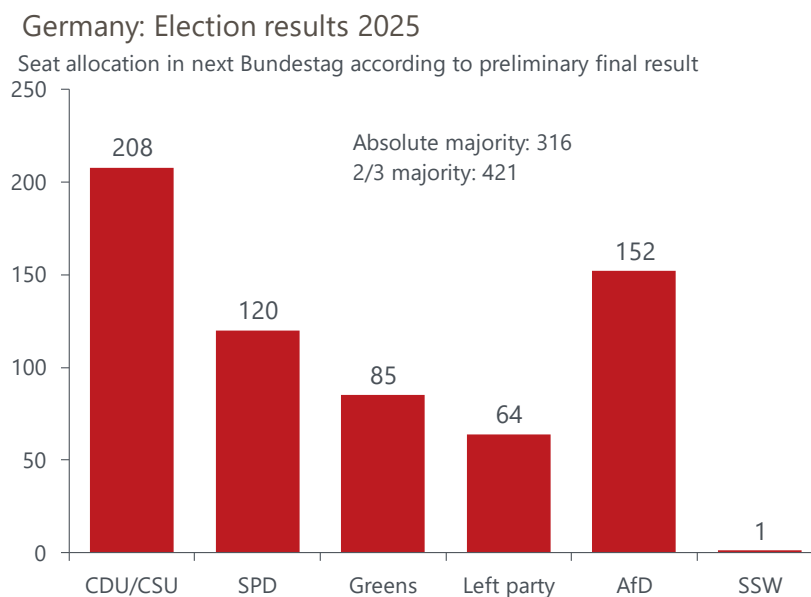
Research Briefing | Germany

A fiscal splurge remains an uphill battle

- **The outcome of the German election with big losses for centrist parties supports our scepticism that the next government will deliver a big reform push to cure the sick man of Europe. The weakened political centre also reduces odds of a big and immediate fiscal splurge via a reformed debt brake. So we don't plan significant forecast changes until a coalition deal has been struck.**
- **A CDU-led coalition with the SPD is the most likely option. It will probably be less fractious than the previous three-party government and tackle some of the immediate economic issues. But the parties' narrow majority, often conflicting views on economic issues and the fractured upper house of parliament all suggest that delivering a series of reforms to end the economy's stagnation will be a significant challenge, although some progress on key issues is likely.**
- **A two-thirds majority needed to change the public debt brake or agree another off-budget fund for defence spending looks similarly challenging. A CDU-SPD coalition could probably count on the Greens, but it would still need eight votes from the far-left or far-right. A political fudge may be feasible, but timing and scope are too uncertain to include in the baseline at this stage. At the margin, this raises odds of some joint EU defence funding to alleviate domestic fiscal pressures.**

The German election results (**Chart 1**) present a somewhat more challenging environment than [expected](#). But first the positive, a two-party coalition looks feasible. A coalition led by the conservative, centre-right CDU with the centre-left SPD would hold a narrow majority of 12 votes in the 630-strong next Bundestag. It is the only two-party coalition politically feasible as the CDU continues to exclude working together with the far-right AfD. We think there is sufficient overlap in the CDU and SPD programs to govern together. The initial post-election noises by the party bigwigs also point in that direction. A two-party coalition should be less fractious than the previous three-party coalition of the SPD, Greens and liberal FDP. Overall, this bolsters our view that the next government will aim to tackle some of the country's most immediate challenges. Some steps to make energy cheaper, lower corporate and income taxes, cut red tape and strengthen the military are likely. A CDU-SPD coalition is also more likely to say put industrial policy ahead of climate goals.

Chart 1: CDU and SPD would have a narrow majority to govern



Source: Oxford Economics/Bundeswahlleiter

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Nonetheless, there are significant differences in the parties' views on economic policy. That risks shaping reform discussions towards the status-quo limiting the likely overall progress. And with a rather thin majority in parliament it is easy to see dissenters having a strong influence in the final outcome. Moreover, it is possible that the SPD will ask its party base to agree to a future coalition deal, which would delay a deal and may strengthen the SPD's hand in the negotiations despite having only half the CDU's seats.

However, the limited legal fiscal space will be the more important challenge. A big fiscal splurge could grease the wheel of compromise and jump start the recovery creating space for further structural reforms. But the nation's tight fiscal rules - the constitutional debt brake - stand in the way and the large losses of centrist parties have made a reform less likely. While there are plenty of ways to circumvent the debt brake, they all have been politically and legally difficult to use and would be limited in scope. Major change requires a two thirds majority. The same is true for an off-budget vehicle to e.g. fund defence spending as was done in the wake of Russia's invasion of Ukraine.

A CDU-SPD government could likely rely on support from the Greens, but that would still leave them eight votes short of the threshold. A political deal with the far-left Die Linke party may be feasible as they also support changes to the debt brake. But they oppose using that money to ramp up defence spending, which is a big priority for the likely next chancellor Friedrich Merz from the CDU especially in light of recent US-policy shifts. Last night, Merz said "the absolute priority will be to strengthen Europe as quickly as possible so that, step by step, we can really achieve independence from the US" regarding defence priorities. So there would have to be some compromise on how to use the resulting fiscal space, which may limit the overall scope of the reform. There may also be enough votes from the far-right AfD, that doubled its vote share, but that may be politically unpalatable. By the same token, a new off-budget and constitutionally enshrined defence fund now looks less likely.

One possible way to simplify the next government's term is to use the existing parliament to push through changes to the debt brake or a defence fund. We haven't seen many [politicians](#) mentioning this and attach a low probability. But it would be an upside risk to our forecast.

A change to the debt brake looks relatively more likely than a new defence fund, but timing and scope of the changes are highly uncertain. Moreover, our baseline already assumes that Germany won't return to a balanced budget, so the upside is small enough to await more clarity from negotiations to adjust our forecasts.

Paradoxically, the constraints on easing fiscal policy at the national level may force the CDU into considering EU level funding or some kind of joint funding with a group of willing countries. This would be politically challenging for the CDU that has previously opposed joint EU funding. But presumably the funds would not have a redistributive nature and a narrow focus on defence spending or supporting Ukraine may make them palatable in light of the new geopolitical realities.